

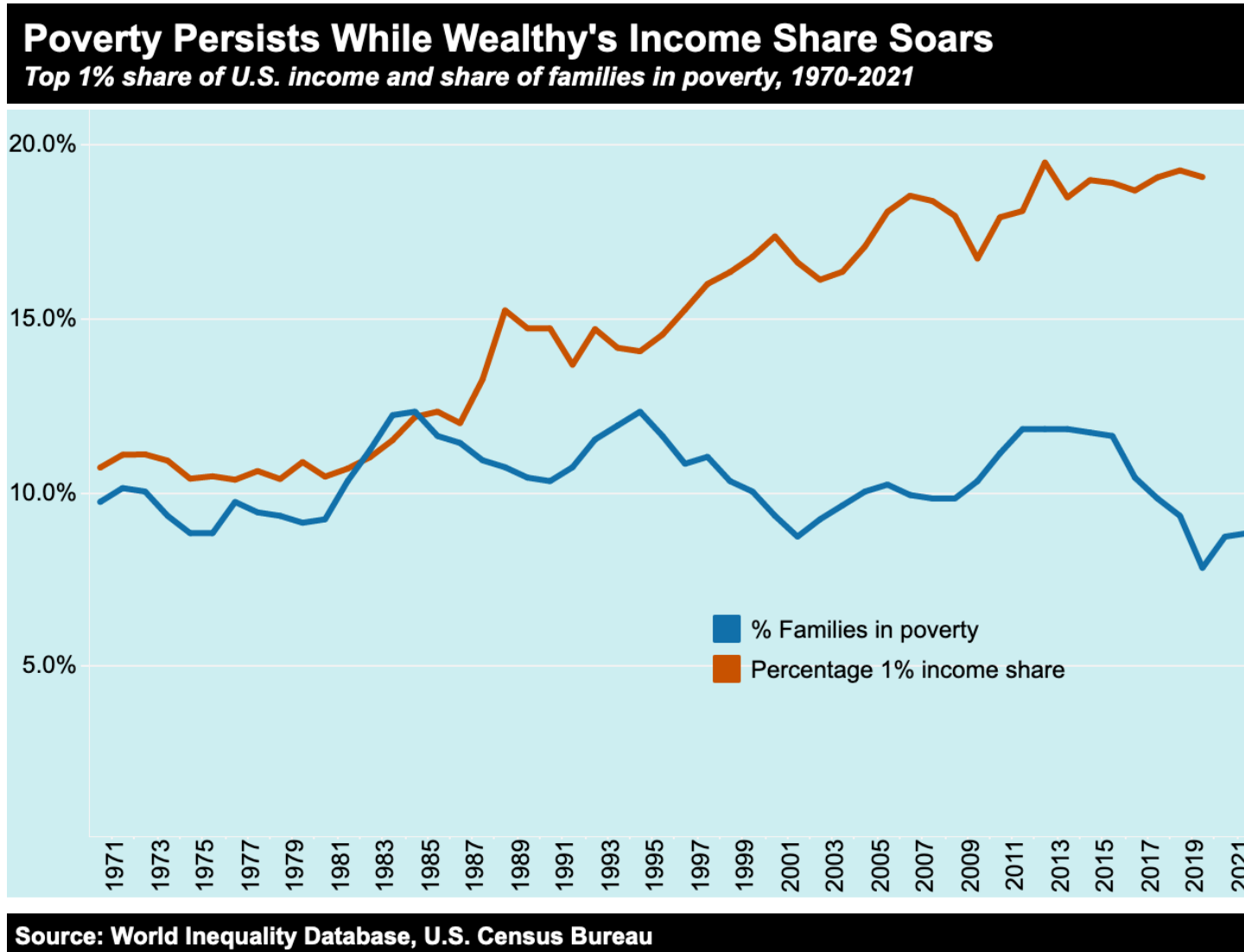
Inequality Within Countries

Overview

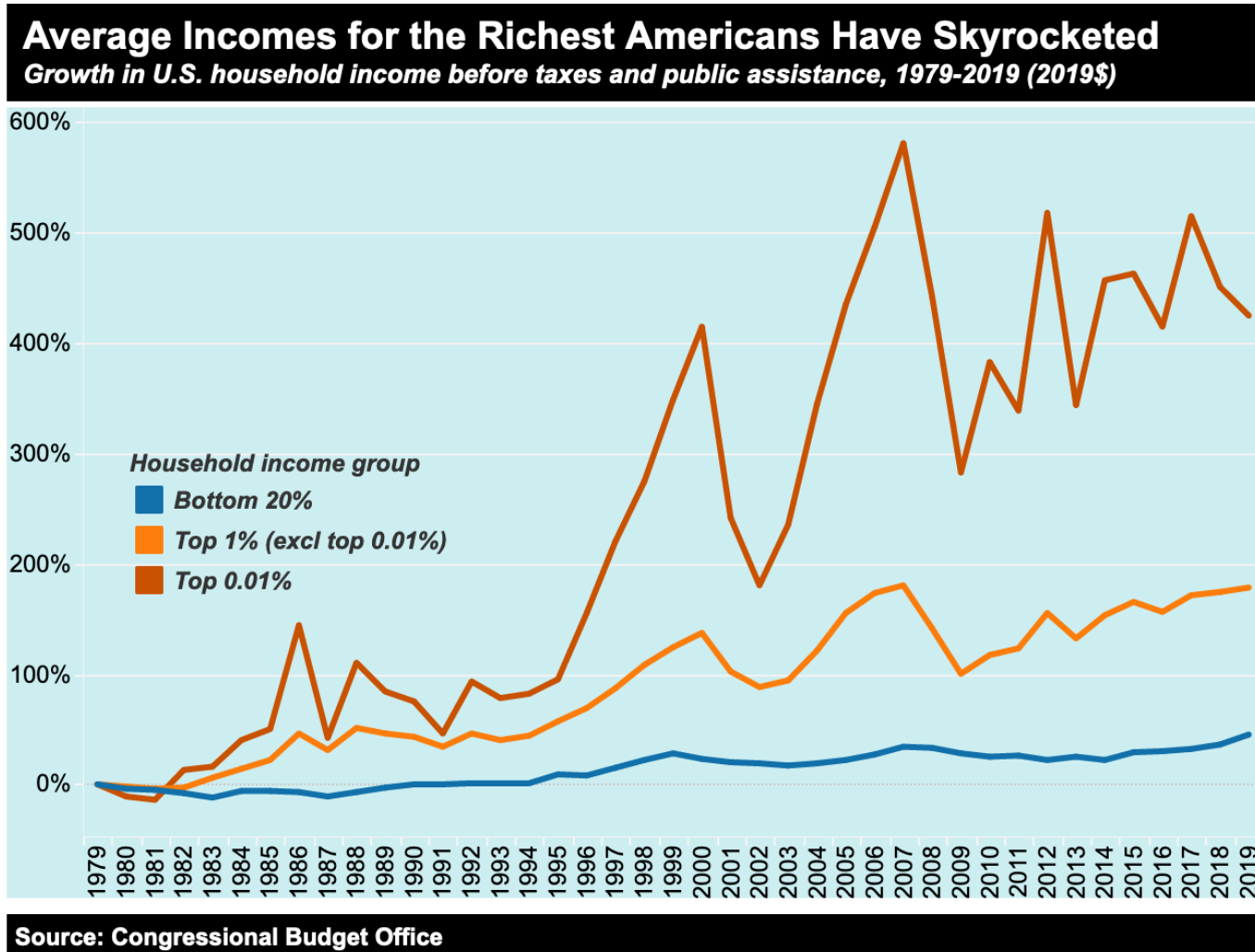
- Why are there poor people in rich countries?
- What explains the extent of redistribution in countries?

→ Fundamentally political

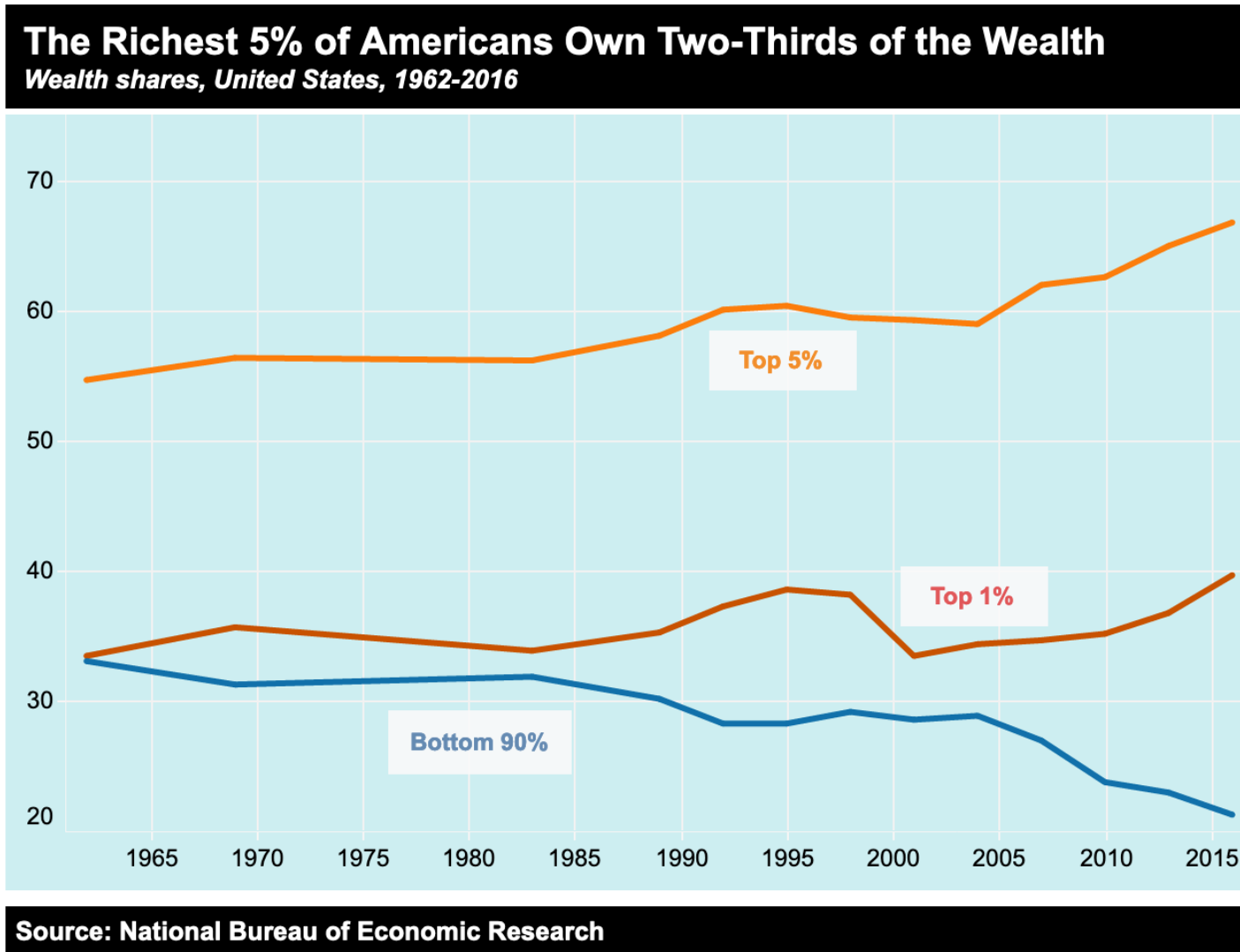
More than 40m Americans in poverty



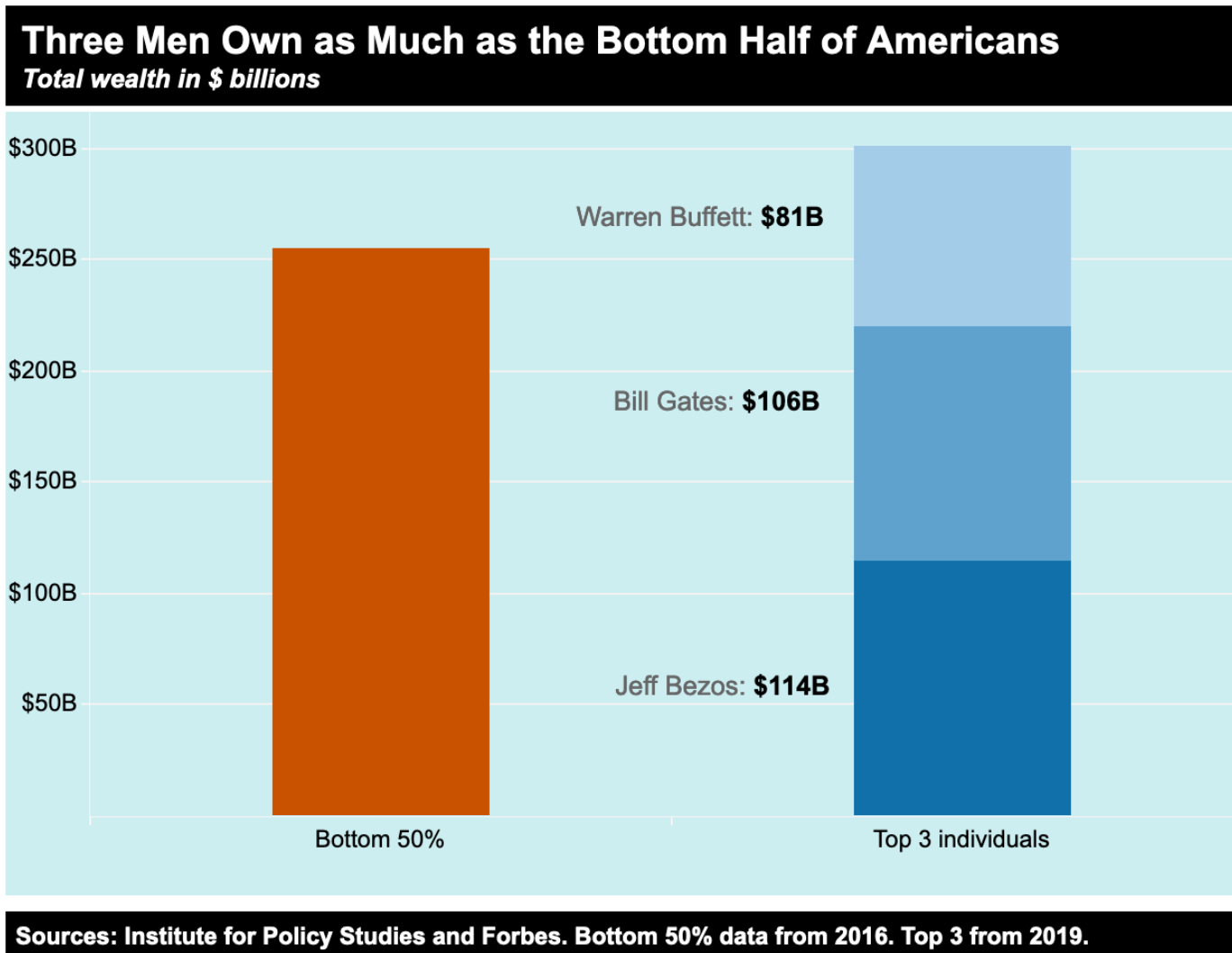
Income is highly concentrated in the US



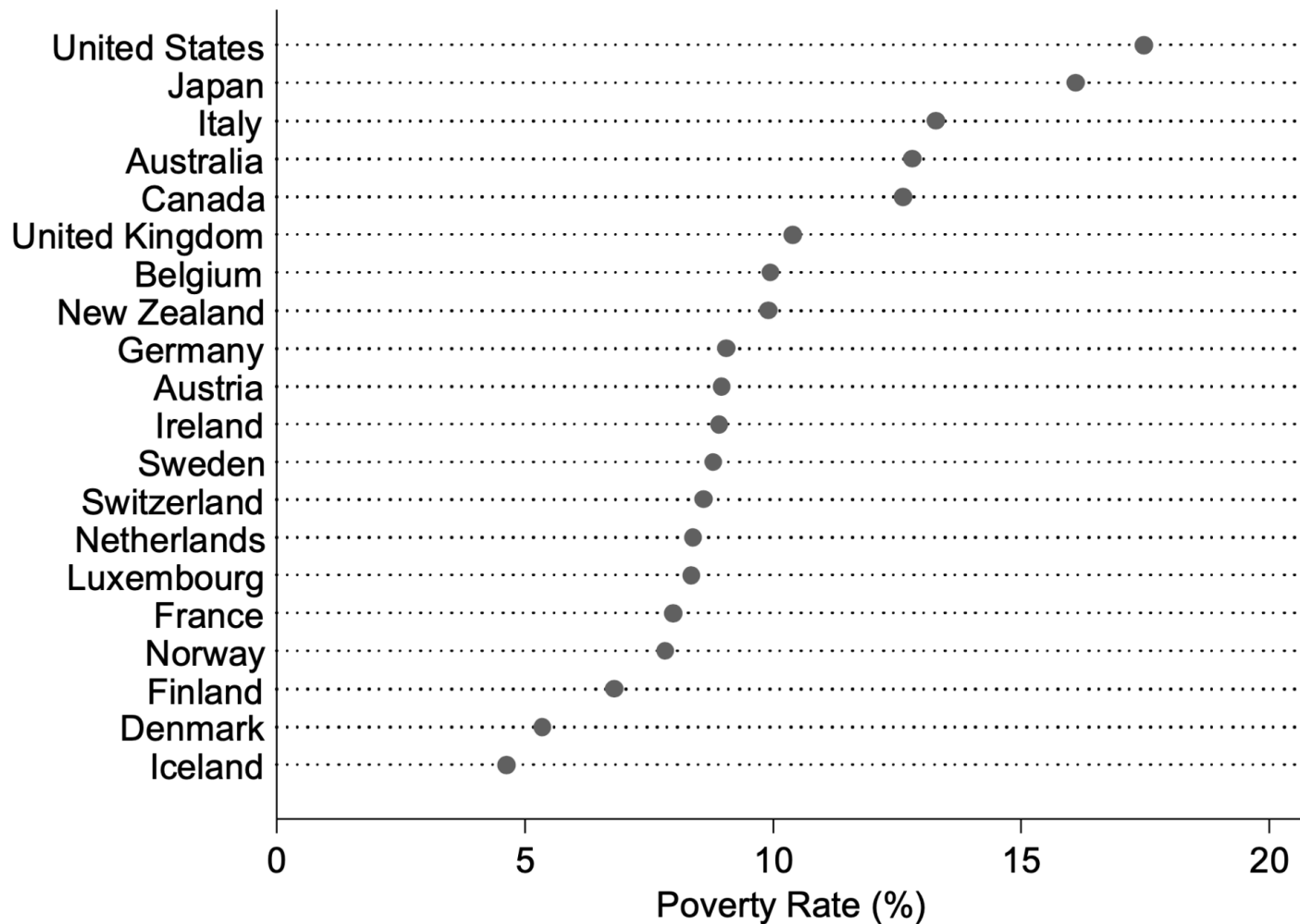
Wealth is highly concentrated in the US



Wealth is highly concentrated in the US

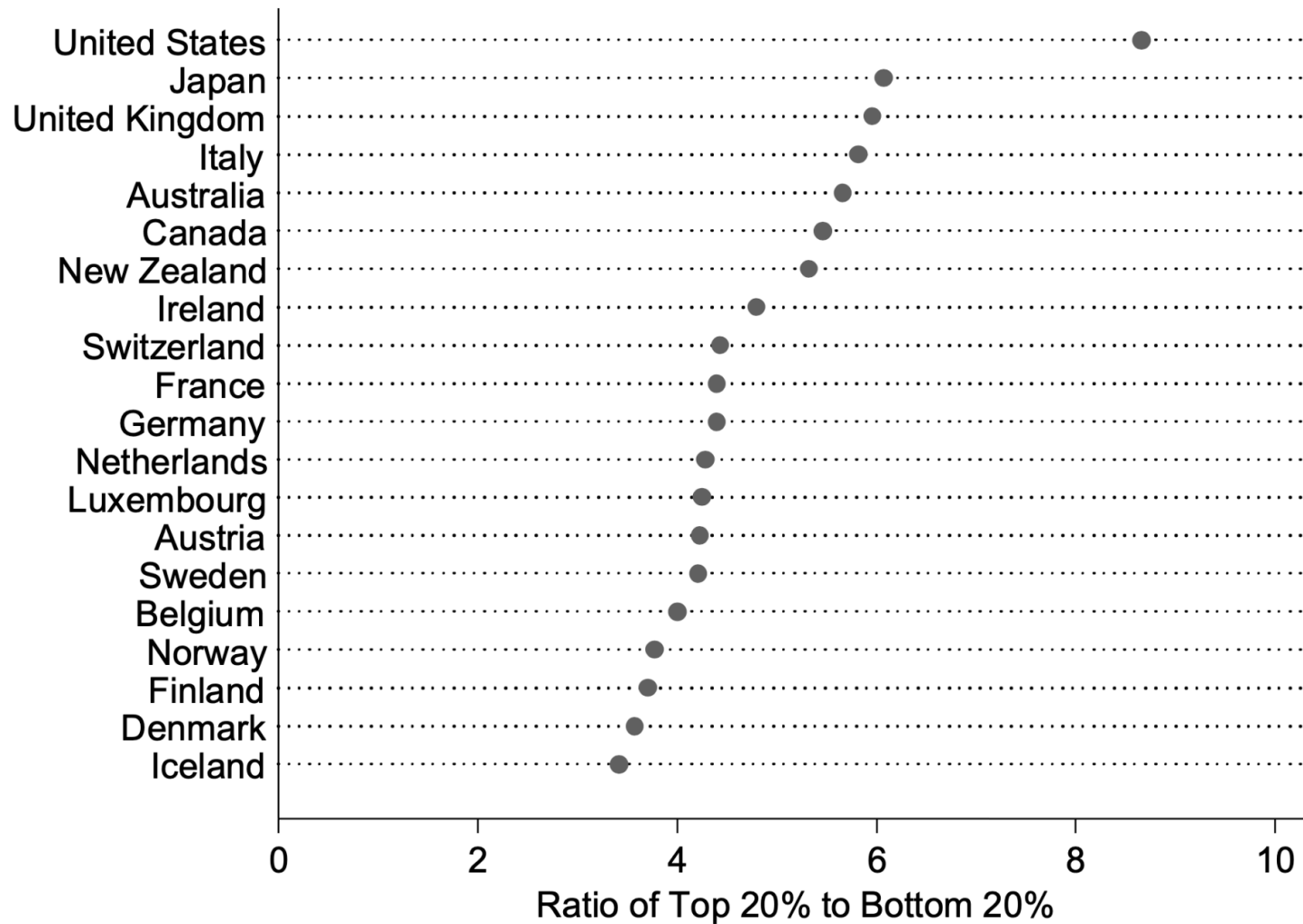


What about poverty in other countries?



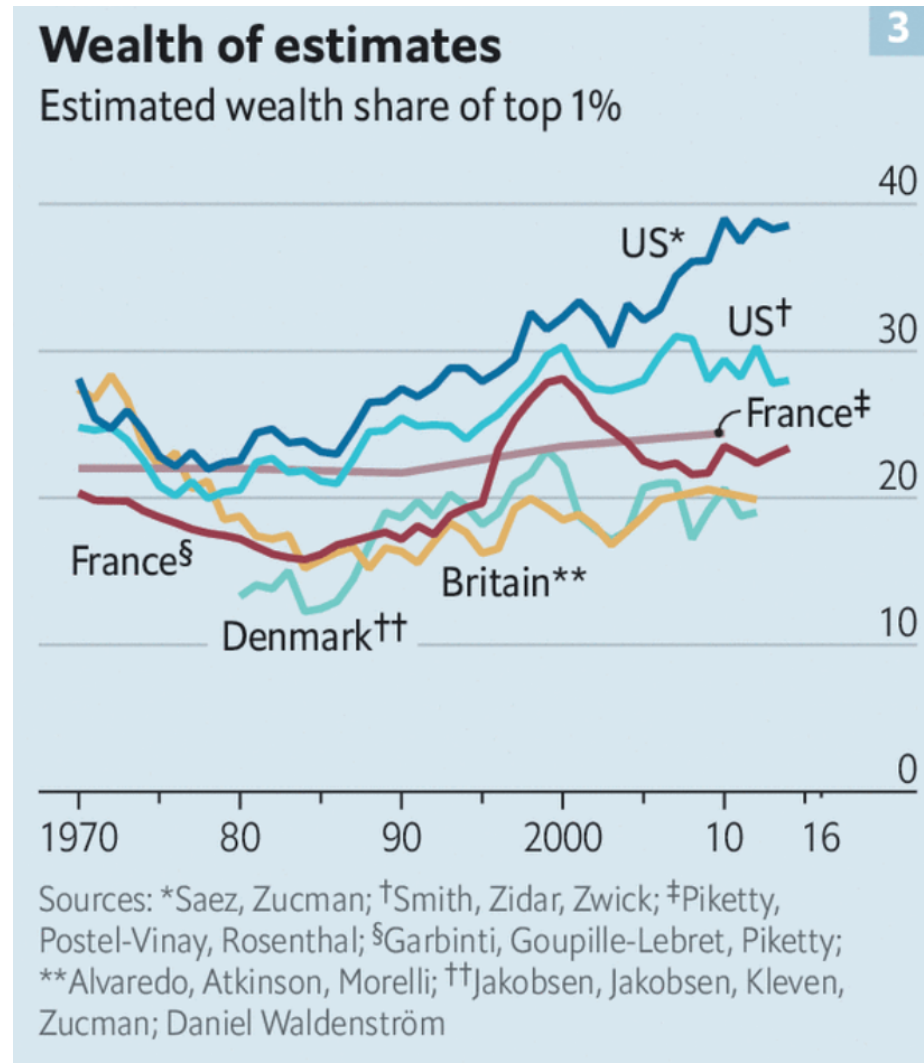
Source: OECD 2016

What about income inequality?



Source: OECD 2016

What about wealth inequality?



The Economist

The questions for today:

- Why do these patterns exist?
- And what role does politics play?

Agenda for today

1. Measuring inequality
2. How can government affect inequality
3. Political explanations for inequality

Measuring inequality

Step 1: What concept do we want?

- Income
- Wealth
- (Something else? e.g., consumption, opportunity)

Step 2: Different measures

- Example : Gini index
- (Others: Theil index, Atkinson index)

Average and median income/wealth

Don't summarize the full distribution

Example: Society of 11 people

\$10,000	5 people
\$25,000	3 people
\$100,000	1 person
\$10 million	1 person

Avg: ~\$929k... but misses that only 1 person earns more than that

Median: \$25k... but misses that 10mil is more than all others combined

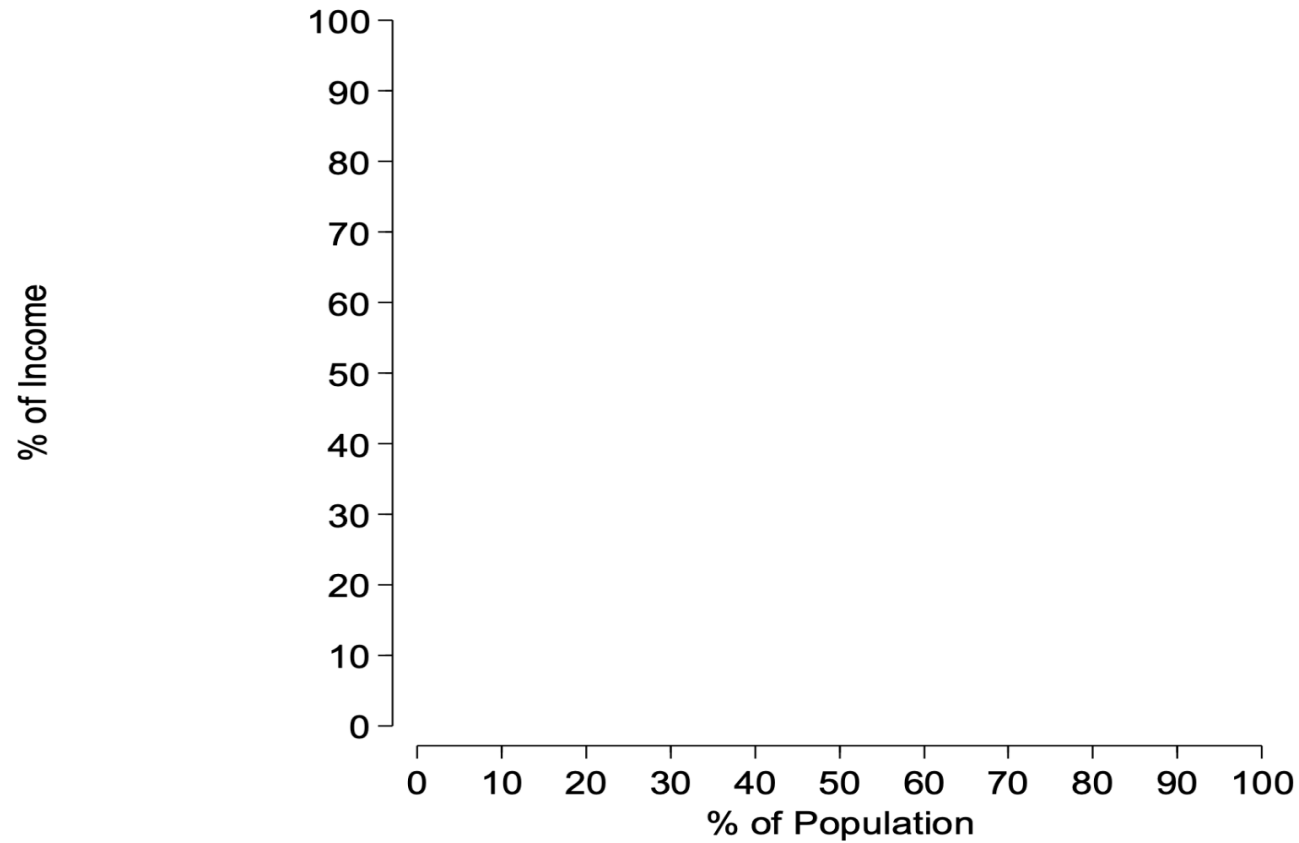
The Gini Index

Measures how much the distribution of income/wealth differs from equality.

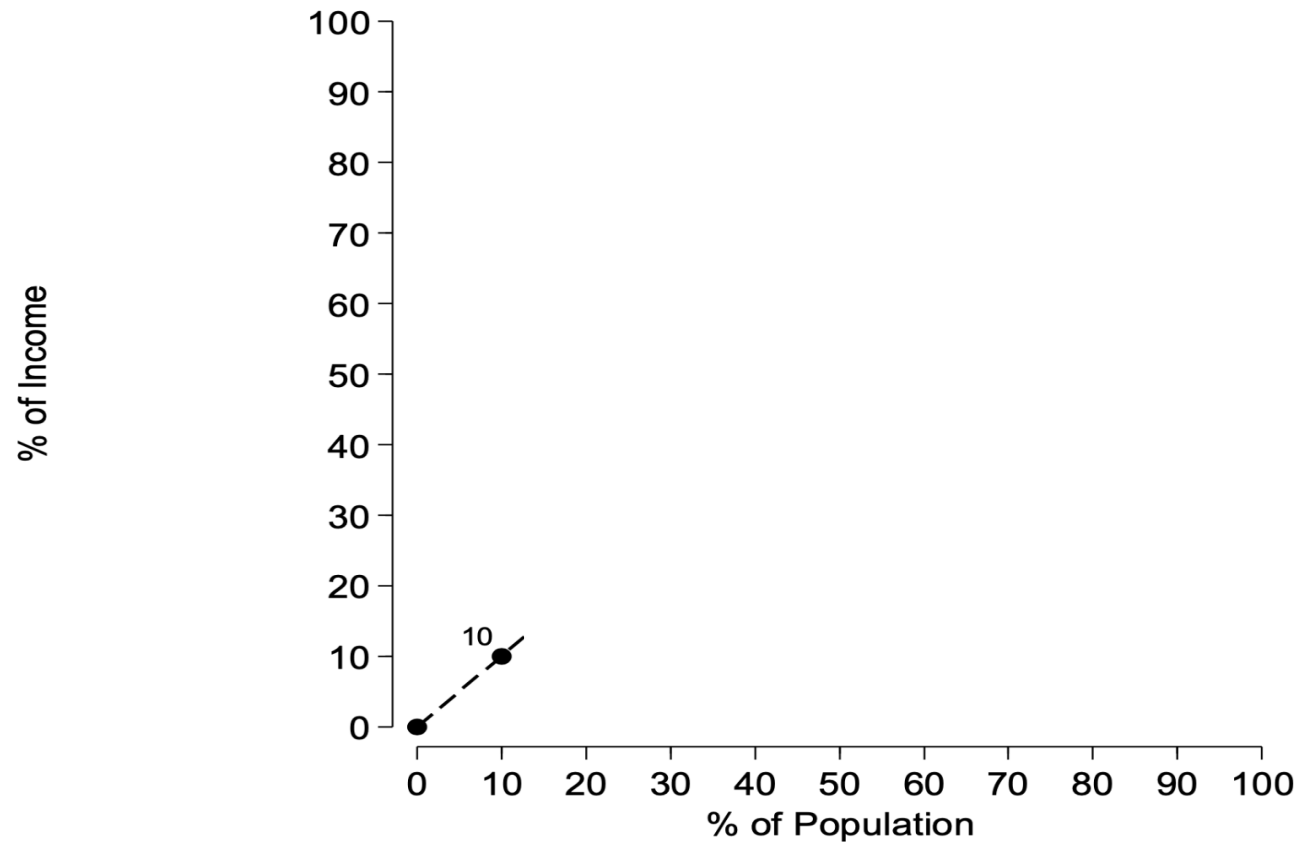
Ranges from:

- 0 where everyone has the same income
- 1 where all income goes to one person

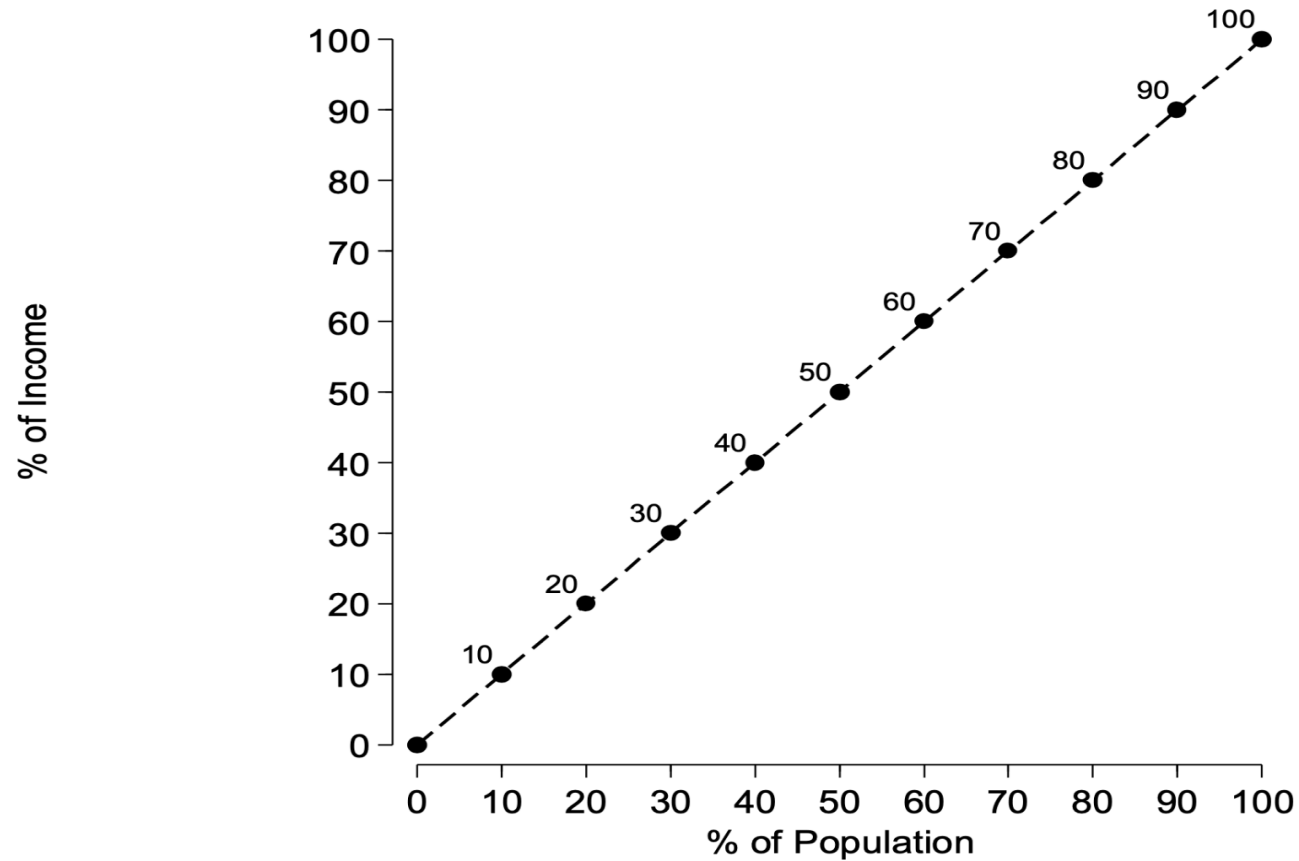
If everyone had the same income...



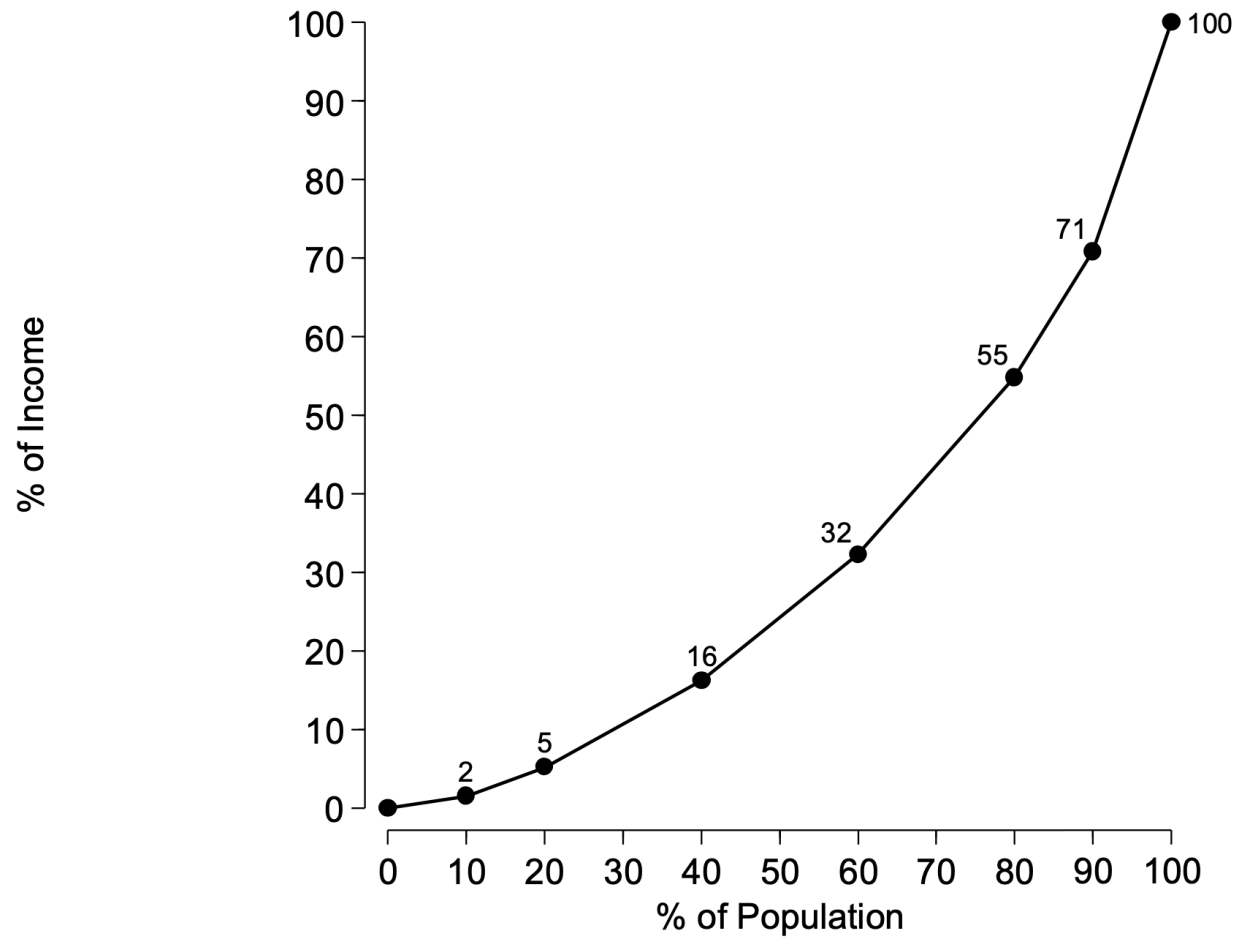
If everyone had the same income...



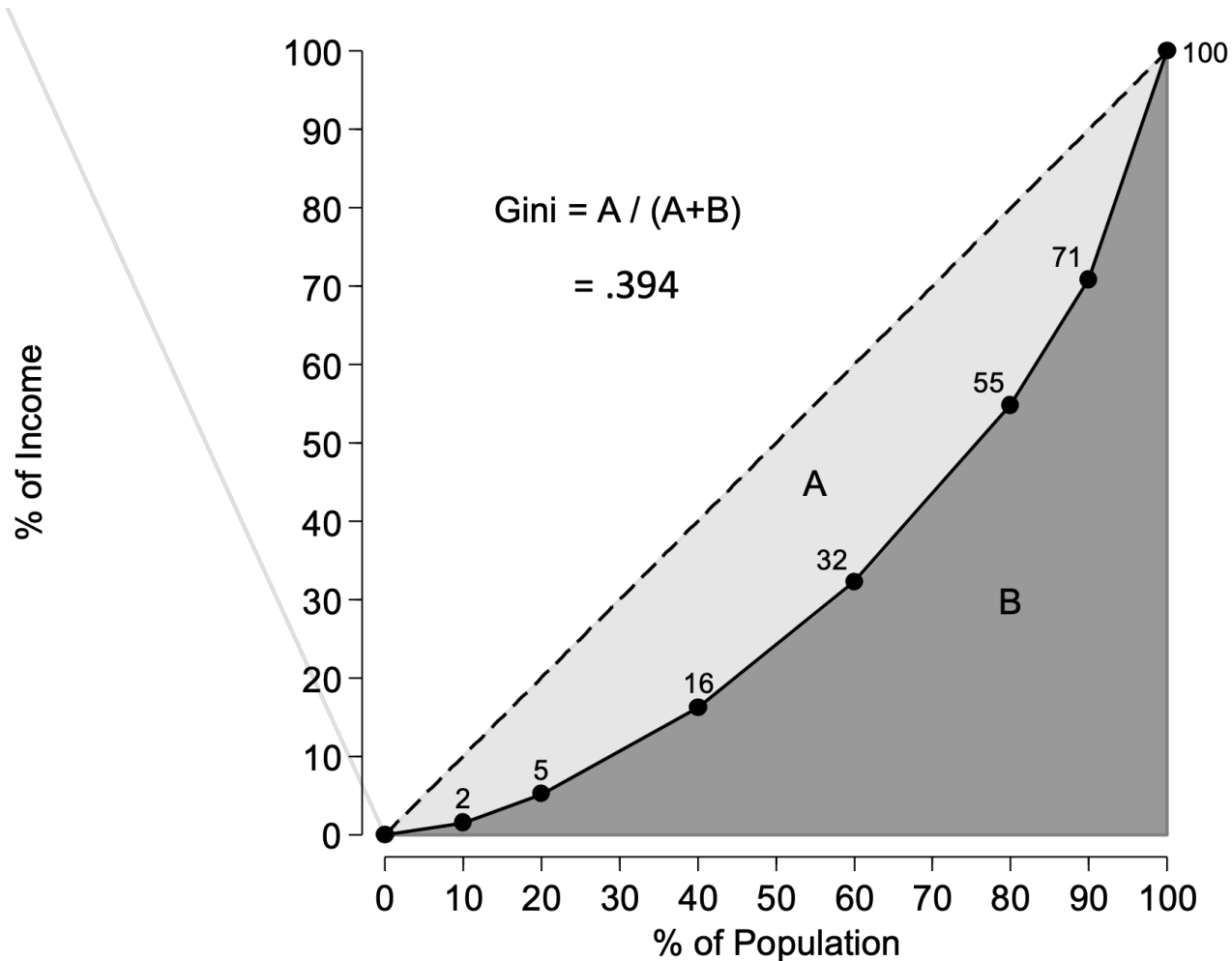
If everyone had the same income...



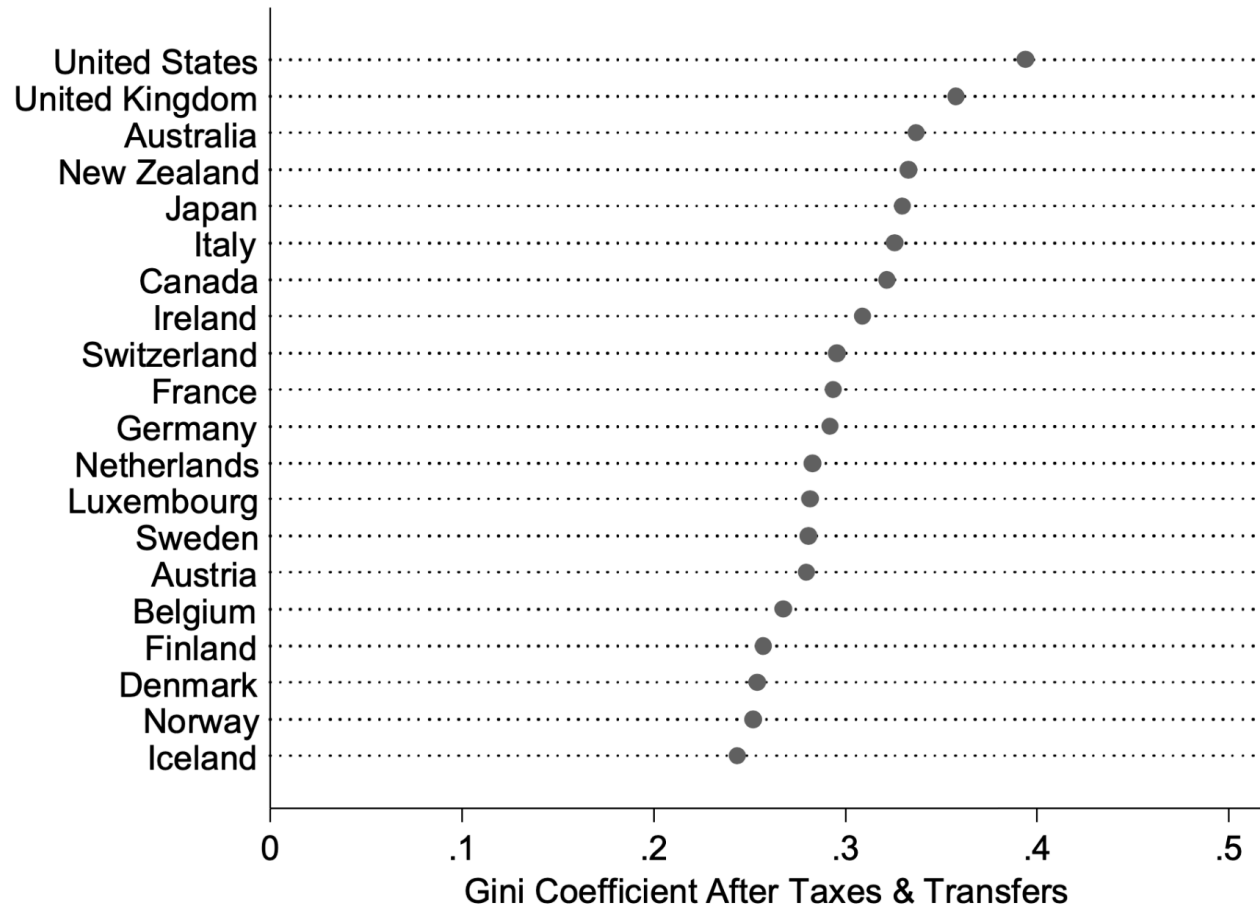
Actual distribution of income in the US



Gini asks us to compare actual distribution to the equal distribution

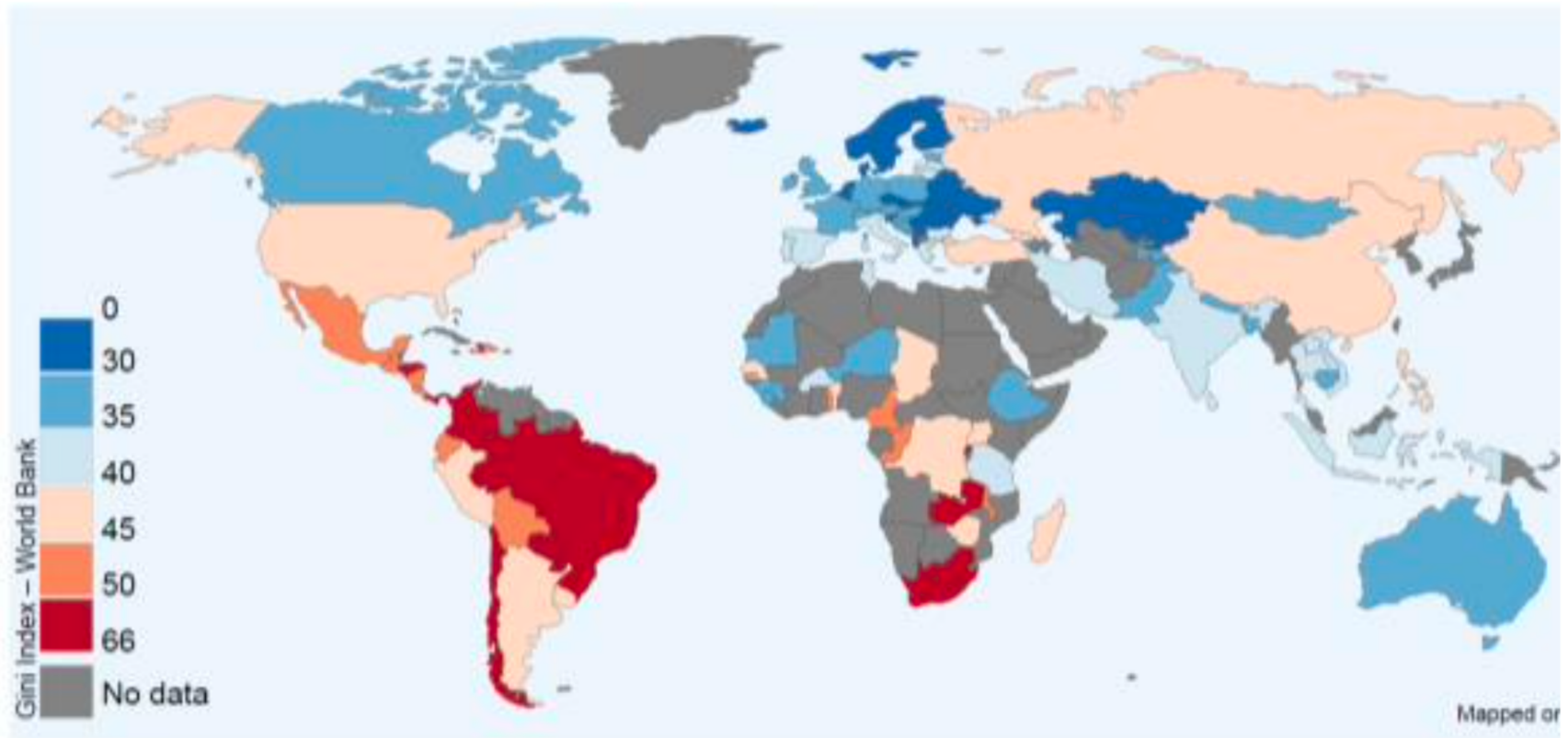


The Gini in 20 rich democracies



Source: OECD 2016

Global Gini Index



Critiques of the Gini index

It requires a lot of data to calculate correctly.

Different income distributions can produce the same Gini.

Structural changes in the population.

How can governments affect inequality?

Human capacities are not evenly distributed.

→ People will earn income/accumulate wealth differentially.

→ Inequality is likely to arise 'naturally.'

Governments can tax.

- Income, capital gains, estate, head tax, property, sales

Governments can transfer/redistribute.

- Means-tested: Medicaid, welfare, food stamps, housing
- Social insurance: Social security, medicare, unemployment

Progressive taxation and transfers can reduce inequality

Federal income tax brackets for single filers

Taxable Income			Tax Rate
0	to	9,275	10%
9,276	to	37,650	15%
37,650	to	91,150	25%
91,150	to	190,150	28%
190,150	to	413,350	33%
413,350	to	415,050	35%
415,050	or more		39.6%

US spending on redistribution (2018)

- \$991 billion Social Security spending
- \$557 billion Medicaid spending
- \$83 billion SNAP spending
- \$22 billion Housing Choice Vouchers
- Etc.

Meltzer & Richard (1981) theory of redistribution

A Rational Theory of the Size of Government

Allan H. Meltzer and Scott F. Richard

Carnegie-Mellon University

In a general equilibrium model of a labor economy, the size of government, measured by the share of income redistributed, is determined by majority rule. Voters rationally anticipate the disincentive effects of taxation on the labor-leisure choices of their fellow citizens and take the effect into account when voting. The share of earned income redistributed depends on the voting rule and on the distribution of productivity in the economy. Under majority rule, the equilibrium tax share balances the budget and pays for the voters' choices. The principal reasons for increased size of government implied by the model are extensions of the franchise that change the position of the decisive voter in the income distribution and changes in relative productivity. An increase in mean income relative to the income of the decisive voter increases the size of government.

Meltzer & Richard (1981) theory of redistribution

Question: What explains variation in government redistribution?

Theory:

- People vary in their productivity
- Incomes will be unequal: mean income $>$ median income
- A flat tax pays for redistribution
- Democracy is modeled using the median voter theorem

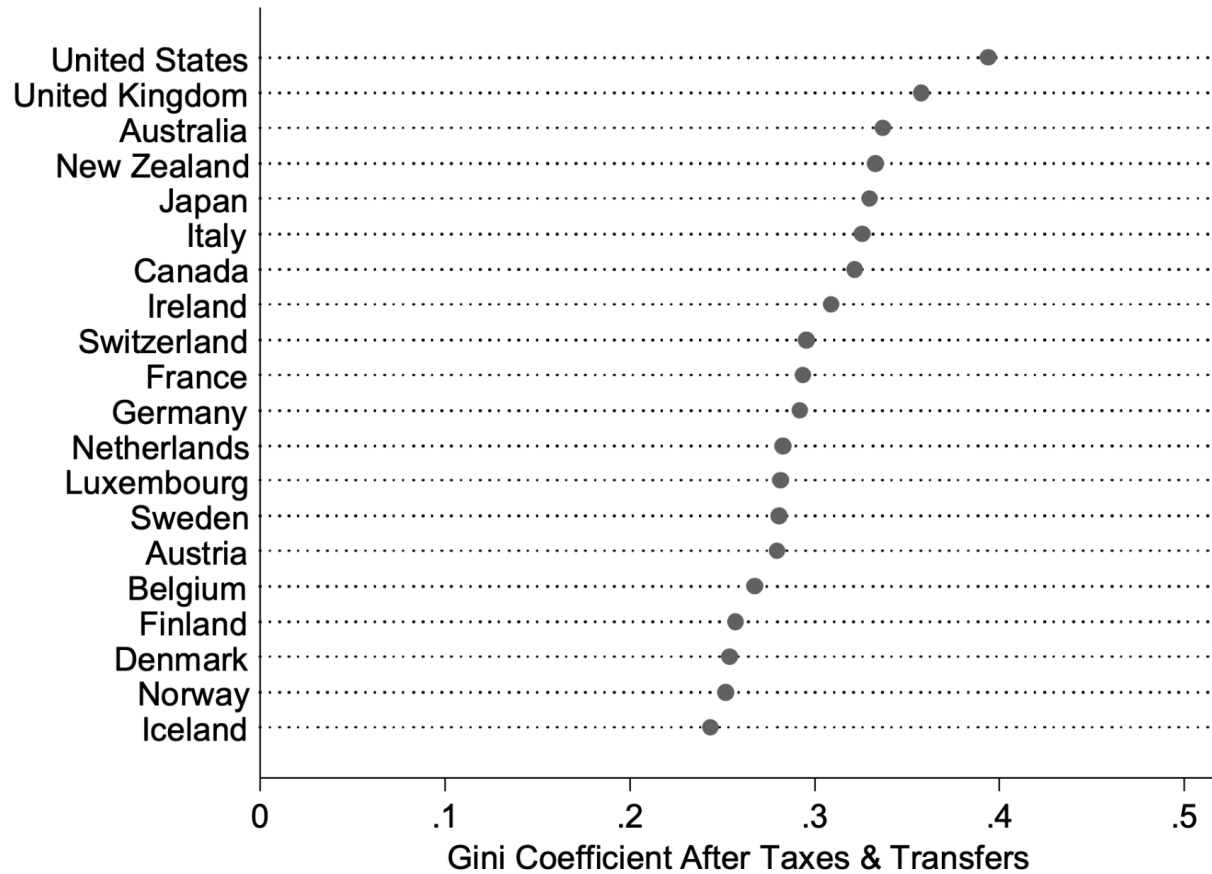
→ Larger franchises increase redistribution.

→ H1: Democracies have lower inequality than autocracies.

Evidence: Democracies have lower inequality



But... why variation amongst democracies?



Source: OECD 2016

Theoretical explanation: Institutions

1) Electoral rules

2) Legislative procedures

1) Electoral rules

?

Electoral rules → Inequality

1) Causal mechanisms

- Proportional representation increases the number of parties by reducing disproportionality
- More parties means more opportunities for left wing parties
- Left wing parties are more likely to support redistribution

→ H1: Countries with PR will have lower inequality.

→ H2: Countries with more parties will have lower inequality.

2) Legislative procedures (veto players)

Veto players → Inequality

2) Causal mechanisms

- Veto players are actors who can block policies
- Can make it more difficult to pass redistributive policies
- Thwart the will of the majority
- Where the majority prefers redistribution

→ H1: Countries with more veto players will have less redistribution.

Constructing a test of our hypotheses

- What is our unit of analysis?
- What outcome/dependent variable do we want to measure?
- How do we want to group our units (by what factor do we group our units) to evaluate the hypothesis?
- What might be wrong with this comparison? (If we find a difference in our outcome between our two groups, must it be because of the causal factor?)

But... institutions are stable and inequality is not



But... institutions are stable and inequality is not



